

Understanding and Preparing Financial Statements

After transactions have been recorded in journals and posted to ledgers, after the trial balance has been prepared and adjusted, the final step of the accounting cycle is the preparation of financial statements. Financial statements are the end product of the accounting process. They communicate the financial position, performance, and cash flows of a business to owners, investors, creditors, and other users. Without financial statements, the data collected throughout the period would remain raw and unorganized – useful only for internal record-keeping, not for decision-making. There are four main financial statements, each answering a different question about the business.

This reading material discusses the balance sheet as a financial statement and provides an overview of all four financial statements: the income statement, statement of changes in owner's equity, balance sheet, and statement of cash flows. It explains the purpose of each statement, its components, and how they relate to one another.

Part 1: Overview of the Four Financial Statements

Each financial statement serves a unique purpose. Together, they provide a complete picture of the business.

Financial Statement	Question It Answers	Also Called
Income Statement	Did the business earn a profit or incur a loss?	Statement of Profit or Loss
Statement of Changes in Owner's Equity	How did the owner's claim on the business change during the period?	Statement of Owner's Equity

Financial Statement	Question It Answers	Also Called
Balance Sheet	What does the business own, owe, and what is the owner's claim?	Statement of Financial Position
Statement of Cash Flows	Where did cash come from and where did it go?	Cash Flow Statement

The Order of Preparation

Financial statements are prepared in a specific order because some statements use information from others.

Order	Statement	Information Used From
1	Income Statement	Trial balance (revenues and expenses)
2	Statement of Changes in Owner's Equity	Net income (or loss) from Income Statement
3	Balance Sheet	Ending capital from Statement of Changes in Owner's Equity
4	Statement of Cash Flows	Balance sheet and income statement information

Part 2: The Income Statement

What Is an Income Statement?

The **income statement** reports the revenues and expenses of a business for a specific period of time (usually a month, quarter, or year). It answers the question: Did the business earn a profit or incur a loss?

Key Components

Component	Definition	Examples
Revenue (Income)	Earnings from selling goods or providing services	Service Revenue, Sales Revenue, Rent Income
Expenses	Costs incurred to earn revenue	Salaries Expense, Rent Expense, Utilities Expense
Net Income (Profit)	Revenue exceeds expenses	Revenue – Expenses = Positive amount
Net Loss	Expenses exceed revenue	Revenue – Expenses = Negative amount

The Income Statement Formula

Net Income = Total Revenues – Total Expenses

If revenues are greater than expenses, the result is net income (profit).

If expenses are greater than revenues, the result is a net loss.

Format of an Income Statement

There are two common formats: single-step and multi-step.

Single-Step Income Statement (Simpler for small businesses)

Account	Amount
Revenues	
Service Revenue	500,000

Account	Amount
Rent Income	20,000
Total Revenues	520,000

Expenses

Salaries Expense	200,000
Rent Expense	60,000
Utilities Expense	30,000
Supplies Expense	10,000
Depreciation Expense	5,000
Total Expenses	305,000

Net Income	215,000
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Multi-Step Income Statement (Used by merchandising businesses)

Account	Amount
Sales Revenue	800,000
Less: Cost of Goods Sold	(400,000)
Gross Profit	400,000

Less: Operating Expenses

Account	Amount
Salaries Expense	100,000
Rent Expense	50,000
Utilities Expense	20,000
Total Operating Expenses	(170,000)
Operating Income	230,000
Add: Other Income	5,000
Less: Other Expenses	(10,000)
Net Income	225,000

Example of an Income Statement

ABC Trading Income Statement For the Year Ended December 31, 2024

	Amount
Revenues	
Service Revenue	500,000
Total Revenues	500,000

Expenses

Salaries Expense	200,000
Rent Expense	60,000
Utilities Expense	30,000
Supplies Expense	10,000
Total Expenses	300,000
Net Income	200,000

Part 3: The Statement of Changes in Owner's Equity

What Is the Statement of Changes in Owner's Equity?

The **statement of changes in owner's equity** reports how the owner's claim on the business changed during the period. It shows the effects of owner investments, net income (or loss), and owner withdrawals.

Key Components

Component	Effect on Owner's Equity	Explanation
Beginning Capital	Starting point	The owner's equity balance at the beginning of the period
Additional Investments	Increase	Owner puts more cash or assets into the

Component	Effect on Owner's Equity	Explanation
		business
Net Income	Increase	Business earned profit, which belongs to the owner
Net Loss	Decrease	Business incurred loss, which reduces the owner's claim
Owner's Drawings (Withdrawals)	Decrease	Owner takes cash or assets out of the business for personal use
Ending Capital	Ending point	The owner's equity balance at the end of the period

The Statement Formula

Ending Capital = Beginning Capital + Additional Investments + Net Income – Owner's Drawings

Or if there is a net loss:

Ending Capital = Beginning Capital + Additional Investments – Net Loss – Owner's Drawings

Format of the Statement of Changes in Owner's Equity

| ABC Trading |
 | Statement of Changes in Owner's Equity |
 | For the Year Ended December 31, 2024 |

	Amount
Beginning Capital, January 1, 2024	500,000
Add: Additional Investments	100,000
Net Income	200,000
Total Increase	300,000
Subtotal	800,000
Less: Owner's Drawings	(50,000)
Ending Capital, December 31, 2024	750,000

Example with Net Loss

	Amount
Beginning Capital, January 1, 2024	500,000
Add: Additional Investments	50,000
Subtotal	550,000
Less: Net Loss	(30,000)
Less: Owner's Drawings	(20,000)
Ending Capital, December 31, 2024	500,000

Part 4: The Balance Sheet (Statement of Financial Position)

What Is a Balance Sheet?

The **balance sheet** reports the financial position of a business at a specific point in time (as of a particular date). It answers the questions: What does the business own? What does it owe? What is the owner's claim?

Unlike the income statement, which covers a period of time (e.g., "for the year ended"), the balance sheet is as of a specific date (e.g., "as of December 31, 2024").

The Accounting Equation

The balance sheet is based on the fundamental accounting equation:

Assets = Liabilities + Owner's Equity

This equation must always balance. The balance sheet is simply a detailed presentation of this equation.

Key Components

Component	Definition	Examples
Assets	Resources owned or controlled by the business	Cash, Accounts Receivable, Inventory, Equipment, Building
Liabilities	Obligations owed to others	Accounts Payable, Salaries Payable, Loans Payable
Owner's Equity	The owner's claim on the business assets	Owner's Capital

Classification of Assets and Liabilities

On the balance sheet, assets and liabilities are classified as current or non-current.

Classification	Definition	Time Frame	Examples
Current Assets	Assets expected to be converted to cash or used within one year	Short-term	Cash, Accounts Receivable, Inventory, Supplies, Prepaid Expenses
Non-Current Assets	Assets that will provide benefits for more than one year	Long-term	Land, Building, Equipment, Vehicles, Intangible Assets
Current Liabilities	Obligations due within one year	Short-term	Accounts Payable, Salaries Payable, Short-term Loans
Non-Current Liabilities	Obligations due after more than one year	Long-term	Long-term Loans Payable, Mortgage Payable

Format of a Balance Sheet

There are two common formats: account form and report form.

Account Form (Assets on the left, Liabilities and Equity on the right)

Assets		Liabilities and Owner's Equity	
Current Assets		Current Liabilities	
Cash	100,000	Accounts Payable	80,000
Accounts Receivable	50,000	Salaries Payable	20,000
Inventory	80,000	Total Current Liabilities	100,000

Assets		Liabilities and Owner's Equity	
Supplies	10,000		
Total Current Assets	240,000	Non-Current Liabilities	
		Loans Payable	150,000
Non-Current Assets		Total Liabilities	250,000
Equipment	200,000		
Building	500,000	Owner's Equity	
Total Non-Current Assets	700,000	Owner's Capital	690,000
		Total Liabilities and Equity	940,000
Total Assets	940,000		

Report Form (Vertical layout – more common in practice)

| ABC Trading |
| Balance Sheet |
| As of December 31, 2024 |

	Amount
ASSETS	
Current Assets	
Cash	100,000
Accounts Receivable	50,000
Inventory	80,000

	Amount
Supplies	10,000
Total Current Assets	240,000
Non-Current Assets	
Equipment	200,000
Building	500,000
Total Non-Current Assets	700,000
TOTAL ASSETS	940,000
LIABILITIES AND OWNER'S EQUITY	
Current Liabilities	
Accounts Payable	80,000
Salaries Payable	20,000
Total Current Liabilities	100,000
Non-Current Liabilities	
Loans Payable	150,000
Total Liabilities	250,000
Owner's Equity	

	Amount
Owner's Capital	690,000
TOTAL LIABILITIES AND OWNER'S EQUITY	940,000

Example of a Simple Balance Sheet

ABC Trading
Balance Sheet
As of December 31, 2024

	Amount
ASSETS	
Cash	150,000
Accounts Receivable	80,000
Equipment	200,000
TOTAL ASSETS	430,000
LIABILITIES	
Accounts Payable	70,000
Loans Payable	100,000
TOTAL LIABILITIES	170,000
OWNER'S EQUITY	

	Amount
Owner's Capital	260,000
TOTAL LIABILITIES AND OWNER'S EQUITY	430,000

Part 5: The Statement of Cash Flows

What Is the Statement of Cash Flows?

The **statement of cash flows** reports the cash inflows (receipts) and cash outflows (payments) of a business during a specific period. It answers the question: Where did cash come from and where did it go?

The income statement shows profitability, but a business can be profitable yet still run out of cash if customers do not pay on time or if too much cash is tied up in inventory. The statement of cash flows explains why cash changed during the period.

Three Sections of the Statement of Cash Flows

Section	Description	Examples of Cash Inflows	Examples of Cash Outflows
Operating Activities	Cash flows from normal business operations	Cash received from customers; interest received	Cash paid to suppliers; salaries; taxes; rent
Investing Activities	Cash flows from buying and selling long-term assets	Sale of equipment; sale of building	Purchase of equipment; purchase of building

Financing Activities	Cash flows from owners and creditors	Owner investment; bank loan proceeds	Owner drawings; loan repayments
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Format of the Statement of Cash Flows (Direct Method)

| ABC Trading |
 | Statement of Cash Flows |
 | For the Year Ended December 31, 2024 |

	Amount
Cash Flows from Operating Activities	
Cash received from customers	480,000
Cash paid to suppliers	(200,000)
Cash paid for salaries	(100,000)
Cash paid for rent	(50,000)
Cash paid for utilities	(30,000)
Net Cash Provided by Operating Activities	100,000
Cash Flows from Investing Activities	
Purchase of equipment	(50,000)
Net Cash Used in Investing Activities	(50,000)
Cash Flows from Financing Activities	
Owner investment	100,000

	Amount
Owner drawings	(30,000)
Proceeds from bank loan	50,000
Net Cash Provided by Financing Activities	120,000
Net Increase (Decrease) in Cash	170,000
Cash at Beginning of Year	50,000
Cash at End of Year	220,000

Relationship Between the Statements

The statement of cash flows explains the change in the Cash account from the beginning of the period to the end of the period. The ending cash balance on the statement of cash flows should equal the cash balance on the balance sheet.

Part 6: How the Four Financial Statements Are Connected

The four financial statements are not independent. They are interconnected. Information flows from one statement to the next.

Connection	Explanation
Income Statement → Statement of Changes in Owner's Equity	Net income (or loss) from the income statement is added to (or subtracted from) owner's equity
Statement of Changes in Owner's Equity → Balance Sheet	The ending capital balance from the statement is reported on the balance sheet

Connection	Explanation
Balance Sheet → Statement of Cash Flows	The change in cash from the balance sheet is explained by the statement of cash flows

Visual Flow of Information

Step 1: Income Statement

Revenues – Expenses = Net Income (200,000)

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Step 2: Statement of Changes in Owner's Equity

Beginning Capital (500,000) + Net Income (200,000) – Drawings (50,000) = Ending Capital (650,000)

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Step 3: Balance Sheet

Assets = Liabilities + Ending Capital (650,000)

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Step 4: Statement of Cash Flows

Explains how Cash changed from beginning to end of the period

Part 7: The Accounting Worksheet

Before preparing formal financial statements, accountants often use a **worksheet** to organize data, make adjusting entries, and check for errors. The worksheet is not a financial statement. It is an internal tool used to facilitate the preparation of financial statements.

Simplified Worksheet Example

Account	Debit	Credit
Cash	150,000	
Accounts Receivable	80,000	
Equipment	200,000	
Accounts Payable		70,000
Owner's Capital		300,000
Service Revenue		150,000
Rent Expense	40,000	
Salaries Expense	30,000	
Utilities Expense	20,000	
Totals	520,000	520,000

Key Terms

Term	Definition
Income Statement	Reports revenues and expenses for a period; shows profit or loss
Statement of Changes in Owner's Equity	Reports changes in the owner's claim on the business
Balance Sheet	Reports assets, liabilities, and owner's equity at a specific date
Statement of Cash Flows	Reports cash inflows and outflows from operating, investing, and financing activities
Net Income	Excess of revenues over expenses
Net Loss	Excess of expenses over revenues
Owner's Capital	The owner's equity account representing the owner's claim
Owner's Drawings	Withdrawals of assets by the owner for personal use
Current Asset	Asset expected to be converted to cash or used within one year
Non-Current Asset	Asset that provides benefits for more than one year
Current Liability	Obligation due within one year
Non-Current Liability	Obligation due after more than one year
Worksheet	An internal tool used to organize data and prepare financial statements

Review Questions

1. What are the four main financial statements? For each statement, state what question it answers.
2. What is the formula for calculating net income?
3. A business has total revenues of ₱800,000 and total expenses of ₱650,000. Calculate the net income or loss.
4. What is the accounting equation? What financial statement is based directly on this equation?
5. Classify each of the following as Current Asset, Non-Current Asset, Current Liability, or Non-Current Liability:
 - (a) Cash
 - (b) Accounts Payable
 - (c) Building
 - (d) Loans Payable (due in 5 years)
 - (e) Inventory
 - (f) Salaries Payable
6. A business has beginning capital of ₱400,000. During the year, the owner invested an additional ₱100,000, earned a net income of ₱150,000, and withdrew ₱60,000. Calculate the ending capital.
7. What are the three sections of the statement of cash flows? Give one example of a cash inflow and one example of a cash outflow for each section.
8. Why are financial statements prepared in a specific order? Which statement is prepared first, and why?
9. A balance sheet shows total assets of ₱1,200,000 and total liabilities of ₱500,000. What is the owner's equity?
10. Application question: Use the following information to prepare an income statement, statement of changes in owner's equity, and balance sheet for ABC Services for the year ended December 31, 2024.

Account	Amount
Cash	100,000
Accounts Receivable	50,000
Equipment	200,000
Accounts Payable	60,000
Owner's Capital (beginning)	200,000
Owner's Drawings	40,000
Service Revenue	300,000
Salaries Expense	100,000
Rent Expense	50,000
Utilities Expense	20,000

Assume no additional investments during the year.